

Prakash Pipes Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: PPL · Report prepared 21 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public financials, annual filings, credit-rating rationales and news record. No usable earnings-call transcripts were obtainable — see Section 2.

1 Snapshot

Prakash Pipes makes two unrelated things in one factory complex at Kashipur, Uttarakhand: **rigid PVC pipes and fittings** (the hard plastic pipe used for farm irrigation, borewells, plumbing and drainage, sold through dealers across north India) and **flexible packaging** (printed plastic film and laminated pouches for shampoo, biscuits, cooking oil, fertiliser). It is net-debt-free, was spun out of Prakash Industries Ltd in 2017, and is roughly half pipes, half packaging.

Measure	Number	What it means in plain words
Sales FY26	₹789 cr	Up just 1% on FY25's ₹780 cr. The company sold <i>more</i> tonnes but at lower prices.
Operating profit FY26	₹66 cr (was ₹121 cr)	Profit from running the business, before interest, tax and depreciation. Down 45% in one year.
Operating margin (OPM)	8% (was 16%)	Operating profit as a share of sales. Halved — only 8 paise of every sales rupee survives as operating profit.
Net profit FY26	₹43 cr (was ₹83 cr)	Down 48%. What is left for shareholders after everything.
Q1 FY27 sales / net profit	₹241 cr / ₹16 cr	Sales +19%, profit +60% year-on-year — but almost none of that profit gain came from making and selling things (Section 2b).
Book value	₹200 per share	Accounting net worth per share (assets minus debts, per share) — ₹478 cr in total. At ₹271 the market pays 1.4x net worth.
ROCE FY26	12.5% (was 27%)	Return on capital employed — profit earned per rupee of capital tied up. Collapsed, but the ₹194 cr loan below distorts it.
Borrowings / cash	₹19 cr / ₹56 cr	Effectively debt-free. But ₹194 cr — 41% of net worth — has been lent out to an undisclosed borrower (Section 2b).

Sources: Screener.in data pull (snapshot, profit-loss, quarters, balance-sheet, ratios, cash-flow); audited FY26 results filing dated 30 May 2026; unaudited Q1 FY27 filing dated 14 Aug 2026.

2 Coverage — what this report is built on

No usable earnings-call record exists

No concall transcripts were obtainable — Screener lists 7 calls but none carries a working transcript link, and the most recent is dated June 2025. This report is based on a global web deep-dive.

Verified directly. The Screener page for PPL renders every "Transcript" and "AI Summary" entry as a dead <div> with no link behind it — only the "PPT" (investor presentation) entries carry real URLs. The seven dated entries are Jun 2025, Jun 2023, Jun 2021, Feb 2021, Aug 2020 (×2) and Aug 2019: roughly one a year, and **nothing at all for the last fourteen months**. The local document store at /ppl/documents/concalls/ is empty.

Recovery attempted and failed. I checked prakashpipes.com (does not resolve), prakashplastics.in (the real company site — it publishes annual reports, results and investor presentations, but **no transcripts of any kind**), and Trendlyne's conference-call page for PPL (returns "No results found"). **No transcript was recovered from any source.**

What I recovered instead, and it is better than nothing: the full **audited segment-wise profit disclosure** in the FY26 and Q1 FY27 results filings. That is the hard number a concall would only have talked around, and it turns out to answer the central question outright.

Every source actually used:

- Company filings (primary, load-bearing):** audited FY26 results incl. segment results, balance sheet and cash-flow statement — prakashplastics.in/pdfs/PPL_Results_31032026.pdf; unaudited Q1 FY27 results incl. segment results and the ₹100 cr capex annexure — PPL_Results_30062026.pdf; press releases dated 30 May 2026 and 14 Aug 2026.
- Annual Report FY2024-25** (Chairman's letter, MD&A, segment note, related-party note, FY25 highlights) — prakashplastics.in/pdfs/Prakash_Pipes_Ltd_ARFY25.pdf. This is the newest annual report published; **the FY26 annual report is not out yet**, which matters (Section 2b).

- **Investor Presentation, June 2025** (BSE filing, 66 slides) — capacity, dealer network, geographic mix, five-year segment volumes, balance-sheet history.
- **Screener.in** — company page, financial data pull, documents/announcements list.
- **Trade and market press** — scanx.trade result reports for Q3 FY26, Q4/FY26 and Q1 FY27 (segment splits, volumes, the one management quote on resin prices); whalesbook.com; DSIJ; Business Standard on the five-quarter squeeze in PVC pipes; Argus, ChemAnalyst, DGTR and Outlook Business on PVC anti-dumping duty and the July 2026 import restriction; Expert Market Research PVC price series.
- **Not available:** no credit-rating rationale from CRISIL, ICRA, CARE, India Ratings or Acuité could be found for Prakash Pipes Ltd (as distinct from Prakash Industries Ltd). With ₹19 cr of borrowings the company may simply not be rated. That removes the one source that usually supplies independent capacity and utilisation commentary.

Latest update highlights — Q1 FY27 (quarter ended 30 June 2026, filed 14 Aug 2026)

- **The headline is real; the cause is not what it looks like.** Sales ₹241 cr (+19%), EBITDA ₹27 cr (+47%), net profit ₹16 cr (+60%). But the audited segment table shows profit before interest of **₹13.29 cr in pipes (vs ₹13.28 cr a year ago — flat to the lakh), ₹3.15 cr in packaging (vs ₹1.83 cr), and ₹6.37 cr "unallocated" (vs minus ₹0.37 cr)**. Roughly 82% of the entire ₹8.2 cr rise in pre-tax profit came from the unallocated line — treasury and interest income, not from making pipes or film. (Q1 FY27 filing, segment results)
- **Where the money went.** The FY26 cash-flow statement shows **"Loan Given ₹269.0 cr" and "Loan Repayment Received ₹75.0 cr"** — a net **₹194 cr advanced out of the company** and parked as a non-current loan asset. Cash and cash equivalents fell from ₹227.5 cr to ₹18.7 cr. The borrower is **not named in any filing**, the FY26 annual report that would carry the related-party note is not yet published, and the company has no operating subsidiary. The only related party of this kind disclosed in FY25 is **Prakash Industries Ltd**, the promoter family's listed steel and power company. This is 41% of net worth and it is the single most important unanswered question about this company. (FY26 results, cash flow + balance sheet; FY25 AR related-party note; exchange filing on consolidation exemption)
- **₹100 cr approved to double flexible packaging capacity** at Kashipur, from 26,400 to 52,800 tonnes a year, targeted for March 2027, funded by "debt and/or internal accruals". Justified by export demand. (Q1 FY27 filing, Annexure I)
- **Packaging volumes are genuinely growing.** 4,980 tonnes vs 3,751 (+33%); **exports 1,468 tonnes vs 374 (+195%)**; utilisation 76.4%. The export push announced in the FY25 Chairman's letter is physically happening. (14 Aug 2026 press release)
- **Pipes went backwards on volume.** 11,421 tonnes vs 14,115 (−19%). Company's explanation, verbatim: *"the West Asia war crisis lead to steep hike in the PVC resin prices which affected the demand for PVC pipes & fittings. However, from June onwards, the resin prices have stabilised and consequently the demand ... has revived."* Pipe realisation rose 15% to ~₹99/kg, offsetting the volume loss in rupee terms. (14 Aug 2026 press release)
- **Three senior management appointments** approved the same day — the only governance change of note. Promoter stake steady at 44.50%; FII holding doubled off a tiny base (0.43% to 0.86%); ~82,000 shareholders, heavily retail. (Screener shareholding; Q1 FY27 filing)

2c Business mix & capacity

Rigid vs flexible, spelled out. *Rigid PVC pipe* is the hard, non-bending pipe used for irrigation and plumbing; its raw material is **PVC resin** — the white plastic powder that pipe is extruded from, mostly imported (India makes 1.8 mt a year against 4.7 mt of demand). *Flexible packaging* is thin printed film and laminated pouch, made from polyester/polypropylene film, printing ink and adhesive — **a completely different raw-material chain that has nothing to do with PVC resin**. That distinction is the key to Section 3.

	FY24	FY25	FY26	Q1 FY26	Q1 FY27
PVC pipes & fittings revenue	₹410 cr	₹413 cr	₹424 cr	₹121 cr	₹113 cr
segment profit (pre-interest)	₹97.8 cr	₹78.9 cr	₹49.9 cr	₹13.28 cr	₹13.29 cr
segment margin	23.9%	19.1%	11.8%	11.0%	11.7%
volume / utilisation (60,000 t capacity)	41,584 t 69%	42,632 t 71%	48,118 t 80%	14,115 t	11,421 t 76%
Flexible packaging revenue	₹259 cr	₹368 cr	₹365 cr	₹82 cr	₹128 cr
segment profit (pre-interest)	₹16.7 cr	₹41.6 cr	₹8.1 cr	₹1.83 cr	₹3.15 cr
segment margin	6.4%	11.3%	2.2%	2.2%	2.5%
	12,043 t 46%	15,458 t 59%	16,605 t 63%	3,751 t	4,980 t 76%

volume / utilisation (26,400 t capacity)

Unallocated (treasury/ interest)	–₹1.1 cr	–₹1.3 cr	+₹3.2 cr	–₹0.37 cr	+₹6.37 cr
---	----------	----------	----------	-----------	-----------

Segment figures are as disclosed in the audited FY26 and unaudited Q1 FY27 filings and the FY25 annual report segment note — **not estimates**. Margins and utilisation are my arithmetic on those disclosed figures. Utilisation for quarters is annualised.

Undisclosed, and it matters: the company does not break out fittings from pipes (the FY25 presentation put fittings at 6% of total revenue), does not disclose capacity by product line, does not publish export revenue in rupees (only packaging export tonnage), and has never quantified an inventory gain or loss. **Reach:** 500+ dealers/distributors and >1,200 dealer and retail counters in pipes; >180 packaging customers. Geography is narrow: **UP &**

Uttarakhand 58%, Delhi NCR 24%, Haryana 13%, Punjab & HP 5% — a north-India regional player, not a national one. Two units, >750 employees.

3 Earning-trigger thesis

The central question, answered — and the answer is not the one on offer

The natural theory is that FY26 was a **PVC resin inventory loss** year: resin prices fall, a pipe maker is holding resin and finished pipe bought at yesterday's high price, has to sell at today's lower price, and books a loss on the way down (the reverse gives a windfall on the way up). **That theory is half right, and the half it misses is the bigger half.**

The pipes half checks out. Pipe volume rose 13% in FY26 while pipe revenue rose 3% — realisation fell 9%, ~₹97 to ~₹88 a kilo. Management confirmed the direction in Q3 FY26: *"the continuous downward trend in PVC resin prices has been arrested."* Pipe profit fell ₹29 cr.

But flexible packaging profit fell ₹33.5 cr — more than pipes — and packaging does not use PVC resin at all. Packaging margin went 6.4% → 11.3% → **2.2%**. So the majority of the FY26 collapse has nothing whatsoever to do with the PVC cycle. It is a converter business with no pricing power that briefly earned an abnormal margin and then gave it all back.

Trough or level shift? Level shift. Pipes have printed 11–13% for five straight quarters and packaging 2.2–2.5% for six. Those are floors that have held through a falling-resin year *and* a spiking-resin quarter. And critically, **the FY24–FY25 numbers were the anomaly, not FY26:** a 23.9% segment margin on commodity agricultural PVC pipe in north India is not a durable economic reality, and an 11.3% margin on printed film is roughly double what listed Indian flexible-packaging converters earn. Group margin ran 10–13% in FY19–FY22, spiked to 16–18% in FY24–FY25, and is now 8%. The spike was the windfall. The question is not whether 8% returns to 16% — it is whether it climbs back to the pre-boom 11–12%.

Trigger	What the public record says	Evidence so far	Horizon	Strength
Packaging volume + export ramp	Exports up 195% to 1,468 t; total packaging volume +33%; utilisation 63% → 76%; ₹100 cr approved to double capacity by Mar 2027.	Volume is real. Profit is not. That +33% volume, +195% export quarter added only ₹1.3 cr of segment profit, margin still 2.5%. Realisation rose 18% and margin barely moved — costs rose in lockstep. Pure pass-through.	Already running	Weak as a profit trigger. Real as a revenue trigger.
PVC resin price cycle turning up	Resin fell through FY26, then spiked on the West Asia crisis, then "stabilised from June". DGTR recommended 5-year anti-dumping duty (Aug 2025); DGFT moved S-PVC to Restricted with a USD 0.766/kg minimum import price (July 2026).	Cuts both ways and has so far cut badly. Falling resin gave FY26 inventory losses; the Q1 FY27 spike should have been a windfall and instead killed 19% of pipe volume while segment profit stayed flat at ₹13.3 cr. Policy now structurally raises the input cost of a price-sensitive farm product.	6–18 months, uncontrollable	Moderate but not owned by the company
Pipe volume recovery on Jal Jeevan / PMKSY / PMAY	FY25 presentation cites ₹670 bn Jal Jeevan, ₹80 bn irrigation, ₹790 bn housing allocations and 10–12% industry growth in FY26.	Volume delivered: 41,584 → 42,632 → 48,118 t, utilisation 69% → 80%; then reversed 19% in Q1 FY27. Realisation, not volume, is the binding constraint, and headroom is now only ~20%.	Ongoing	Moderate
Operating ROCE is far better than reported	Reported ROCE 12.5%. But ₹194 cr loan + ₹56 cr cash sit inside capital employed while earning only interest.	Strip them out and the <i>operating</i> business earned ~₹58 cr on roughly ₹250 cr of operating capital — about 23%. The	Structural	Strong — but only unlocks if the ₹194 cr comes back and

		manufacturing business is not the problem; capital allocation is.		is deployed or returned
₹194 cr loan out of the company	Disclosed only as a number in the cash-flow and balance sheet. No borrower named. No stated rate, tenor or security. No annual report yet.	A risk masquerading as a trigger . It flatters profit growth (82% of Q1 FY27's improvement) while removing 41% of net worth from productive use — and may force the ₹100 cr capex onto debt at a company that has always been proudly net-debt-free.	Unknown	Weak / adverse

4 Management consistency scorecard

Read this first

With no usable earnings calls, **every "promise" below comes from an annual report, an investor presentation or a press release — management's own unchallenged words, never a claim tested by an analyst who could push back.** No one has been able to ask why packaging profit fell 81% while the press release called it "encouraging performance", or who borrowed ₹194 cr. **The read is directional only.** Note also what management chooses to publish: both FY26 and Q1 FY27 press releases lead with volume growth and EBITDA and **never once mention segment profitability** — the segment table is only in the statutory filing behind it.

Period	Promised / stated	What happened	Verdict
FY25 AR (Chairman)	"Installing advanced rotogravure tech to boost flexible packaging capacity at the Kashipur plant — to serve global markets... aiming to convert domestic know-how into international demand."	Delivered physically. 3rd extrusion-coating and lamination line commissioned, Nordmeccanica Supercombi 5000 laminator installed, exports 374 → 1,468 t, ₹100 cr approved to double capacity.	Kept — on capacity and exports
Jun 2025 IP	Packaging division "now focusing on higher margin export and value added orders."	The exports arrived; the margin did not. Packaging margin 11.3% (FY25) → 2.2% (FY26) → 2.5% (Q1 FY27) with export volume up 4x. Whatever these orders are, they are not higher margin.	Broken — the word "margin" did not survive contact
FY25 AR	"Targeted capex into PVC pipes & fittings, CPVC pipes & fittings, water tanks, and HDPE drums."	Delivered. HDPE barrel capacity commissioned and selling B2B; water tanks and CPVC in the FY25 portfolio. Pipe utilisation 71% → 80%.	Kept
FY25 AR / IP	"Capex through internal accruals"; "net-debt free balance sheet"; "positive cash flows."	Held through FY26 — borrowings cut ₹39 cr → ₹19 cr, capex ₹24 cr self-funded. But the new ₹100 cr is "debt and/or internal accruals", and ₹194 cr of those accruals is lent out, not available.	Kept so far, under strain
May 2026 press release	Packaging "delivered encouraging performance with customer diversification and focus on value added products."	Segment profit fell ₹41.6 cr → ₹8.1 cr — down 81% — on flat revenue. Calling that "encouraging" while omitting the profit number from the same document is the clearest evidence here that the narrative is being managed.	Misleading framing
May 2026 press release	Pipes: "with strong brand recognition and stability in PVC resin prices, the growth trajectory is likely to continue in this year also."	Failed within one quarter. Pipe volume fell 19% in Q1 FY27 on a resin price spike. To their credit, the Q1 press release said so plainly rather than burying it.	Wrong — but honestly corrected
FY26 filings	Nothing stated at all about the ₹269 cr lent out / ₹194 cr outstanding.	No borrower, rate, tenor, security or purpose disclosed in any filing or press release. Cash fell ₹227 cr → ₹19 cr and the press release did not mention it. The FY26 annual report, which must carry the related-party note, is not yet out.	Disclosure failure
Capital returns	Dividend record.	Rose <i>into</i> the bad year: ₹2.40/share FY25 → ₹3.40/share FY26 (₹8.1 cr, ~19% of earnings). No buyback ever. Promoter stake crept 44.27% → 44.50%.	Kept — modest but consistent

EARNING TRIGGER: NO — the trigger being marketed is a revenue trigger, not a profit trigger

The story on offer is packaging volumes and exports compounding, with a ₹100 cr doubling behind it. The audited segment table refuses to support it. Packaging grew volume 33% and exports 195% in Q1 FY27 and added **₹1.3 crore** of segment profit, staying at 2.5% margin; pipes earned ₹13.29 cr against ₹13.28 cr a year earlier, flat to the lakh. Eighty-two percent of the celebrated "+60% profit" came from the unallocated treasury line — interest on money the company has lent out. Meanwhile the FY26 margin halving was *not* mainly a PVC resin inventory loss: packaging, which touches no PVC resin, lost more profit than pipes did. That means **8% is a level, not a trough** — six quarters of 2.2–2.5% packaging margin and five of 11–12% pipe margin, holding through both a falling-resin year and a spiking-resin quarter. The genuine positive buried here is that the *operating* business earns roughly 23% on operating capital — the reported 12.5% ROCE is dragged down by financial assets, not bad factories. But management is about to put another ₹100 cr into the segment earning 2.2%, the opposite of what the segment data argues for.

MANAGEMENT CONSISTENCY: MIXED — reliable builders, unreliable narrators, and one disclosure hole that overrides everything

On physical execution this team is credible: every line, laminator, barrel capacity and export route they said they would commission, they did — funded from internal cash, while cutting debt. That is a real and unusual small-cap record. But the words around the numbers do not survive checking. "Higher margin export orders" produced a 2.2% margin. Packaging profit falling 81% was published as "encouraging performance", with the profit number left out of the press release and visible only in the statutory filing behind it. Guidance that pipe growth would continue failed inside one quarter. And above all: **₹269 cr was lent out of the company in FY26, ₹194 cr is still outstanding, that is 41% of net worth, and not one filing names the borrower, rate, tenor or purpose.** The only related party of this type on record is the promoters' listed steel and power company, Prakash Industries Ltd. That interest income is now the main engine of reported profit growth, which makes the omission worse, not smaller.

The evidence limitation, stated plainly: there is no call, so no one has ever had to answer these questions out loud. On the other hand the segment disclosure I recovered is *audited* — harder evidence than commentary would have been. **The single thing to watch is the FY26 annual report**, due around the September 2026 AGM: its related-party note must identify the ₹194 cr borrower. Until then, the honest reading of this company is a competent north-India manufacturer earning a normal 11–12% in pipes, running a 2% packaging business it is about to double, and holding 41% of its net worth in an unexplained loan.